

Savita Oil Technologies Ltd.

NSE: SOTL | Specialty Petroleum Refining | Specialty Chemicals / Lubricants

India's premier specialty petroleum refiner — toll model, zero debt, and a first-ever 5,00,000 KL volume run-rate

RATING	12-MONTH TARGET	UPSIDE / DOWNSIDE
ACCUMULATE	Rs. 660	+14.2%
CMP: Rs. 578	12-month horizon	from CMP

Market Cap	Rs. 3,960 Cr	52-Week High	Rs. 620
CMP (15 Jun 2026)	Rs. 578	52-Week Low	Rs. 286
Face Value	Rs. 2.00	FY26 EPS	Rs. 26.52
Stock P/E (TTM)	21.8x	Book Value / Share	Rs. 265
Dividend Yield	0.69%	ROCE (FY25)	15.2%
Promoter Holding	68.93%	Net Debt / Cash	Net Cash Rs. ~508 Cr
ROE (FY26)	10.5%	FY26 Revenue	Rs. 4,363 Cr

INVESTMENT THESIS: Transformer oil super-cycle + pharma white oil premium + ester fluid pivot = EBITDA re-rating from 4% to 8%+ over 3 years

Report Date: 15 June 2026	Rating Horizon: 12 Months	Analyst: MPM Institutional Research Desk
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2. INVESTMENT THESIS

- **Transformer oil demand super-cycle (FY26–FY30):** India's power ministry targets 500 GW renewable capacity and Rs. 3.4 lakh Cr in T&D; capex. Every new transformer, substation upgrade, and cable corridor consumes transformer oil — SOTL's single largest product (>40% of volumes). FY26 saw double-digit transformer oil volume growth; the T&D; buildout has at least 4 more years to run at current pace.
- **Pharma white oil — pricing power upgrade cycle:** White oil and petroleum jelly are essential excipients in tablet coating, ointment bases, and cosmetic creams. India's pharma export push (US FDA approvals, PLI scheme) is driving volume AND premiumisation. SOTL is one of only two Indian manufacturers with USP/NF-grade white oil capability, making this a near-captive revenue stream with superior margins vs. industrial lubes.

- **Ester-based advanced fluid pivot — long-term re-rating catalyst:** The Savsol Ester5 synthetic automotive lubricant range grew 5X the industry rate in FY26. The company is now developing ester-based transformer fluids for EV charging infrastructure and natural ester fluids for biodegradable transformer applications — a globally growing niche where SOTL can command Rs. 800–1,200/L vs Rs. 90–120/L for mineral transformer oil.
- **Near-term catalyst (next 6–12 months):** Multi-year lubricant supply partnership with Mahindra's Farm Tractor Division announced in FY26; ramp-up volume off-take expected in H1FY27. Combined with the Greentec subsidiary merger (simplifying corporate structure), this could re-rate the stock by 15–20%.
- **Biggest structural risk:** Base oil price swings — SOTL is a pure processor (no upstream assets), so a sharp rise in Group I/II base oil prices from BPCL/HPCL can compress EBITDA margins by 100–200 bps within a single quarter, as seen in FY25 when operating margins fell to 4%.

3. BUSINESS OVERVIEW

- **Core business model — toll refining at scale:** SOTL buys base oils (primarily Group I and Group II mineral base stocks) from BPCL and HPCL under long-term supply arrangements and refines/blends them into specialty petroleum products. The company does NOT produce crude or base oil — it is a pure specialty processor, making it asset-light and capital-efficient vs. integrated oil majors.
- **Revenue segmentation by product (approximate FY26 split):** Transformer Oil and Insulating Fluids (~40–45% of volumes), Lubricants (automotive, industrial, agriculture) (~30–35%), White Oils and Petroleum Jelly (~15–20%), Process Oils and Rubber Oils (~5–8%), Exports (~8–10% by volume — predominantly to Middle East and South-East Asia).
- **Transformer oil — the anchor:** SOTL supplies transformer oils to major power sector customers including NTPC, power utilities, transformer OEMs (ABB, Siemens, CG Power, Transformers and Rectifiers India), and EPC contractors. Contracts are predominantly annual or multi-year bilateral supply agreements.
- **White oil / petroleum jelly — pharma anchor:** Sold to pharma majors, FMCG companies (hair oil, cosmetics), and food processing companies. USP/NF certification (for direct food/pharma contact) is a strong entry barrier; SOTL and IOC's lube division are the primary domestic sources.
- **FY26 milestone — 5,00,000 KL for the first time:** The company crossed the 5 lakh KL annual volume milestone in FY26 — a record. Revenue grew 14.2% to Rs. 4,363 Cr; PAT recovered sharply to Rs. 182 Cr (+60.6% YoY) after the FY25 margin compression.
- **Promoter background:** Promoted by the Patel family (Savita Chemicals, Mumbai). The Patel family is old-guard specialty chemicals; promoter holding is 68.93% (Mar 2026) — stable over the past 3 years. No pledging. DII holding has been steadily rising from 7.4% (FY23) to 13.18% (FY26), reflecting growing institutional recognition.
- **Greentec merger:** Board has approved the merger of wholly-owned subsidiary Greentec Oil Industries into SOTL — simplifying the structure and consolidating specialty transformer fluid capabilities under one entity.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Indian transformer oil market:** Estimated at ~Rs. 4,000–5,000 Cr annually and growing at 12–15% CAGR driven by government's Rs. 3.4 lakh Cr T&D; capex under RDSS, PM-KUSUM, and renewable energy integration. Demand is both replacement (ageing fleet of 20–40 year old transformers) and new capacity (grid expansion, data centres, metro rail).

- **White oil / specialty petroleum market:** India's pharmaceutical sector is targeting Rs. 2 lakh Cr in exports by FY30 (up from Rs. 1.65 lakh Cr in FY25). Specialty white oil demand is growing 8–10% CAGR; USP/NF-grade capacity is nearly a duopoly (SOTL + IOC), so supply tightness is structural.
- **Policy tailwinds:** (a) T&D; capex mandate under National Electricity Plan 2023–32; (b) Pharma PLI scheme driving export-quality API/formulation production; (c) "Make in India" push reducing transformer imports, raising domestic transformer production and hence transformer oil demand; (d) EV charging infrastructure build-out opens ester/synthetic fluid opportunity.
- **Competitive moats:** Pricing power: **Moderate** — SOTL is a price-taker for base oil inputs but has modest pass-through capability on specialty products. Switching costs: **Moderate-Strong** — USP/NF white oil qualification and transformer oil qualification with utilities are multi-year processes. Scale: **Strong** — 5,00,000+ KL annual capacity is the largest specialty petroleum slate in India. IP: **Weak-Moderate** — formulation know-how, not patents. Distribution: **Strong** — direct utility/OEM relationships plus 1,000+ dealer network for lubes.
- **Key headwind:** Base oil price volatility (linked to crude and refinery margins of BPCL/HPCL) can compress spreads in a 3–6 month lag before pass-through pricing kicks in. FY25 was a direct casualty — operating margins fell to 4% from 9% in FY23.

Peer Comparison — Screener.in data, 15 Jun 2026 (Consolidated, TTM)

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E	P/B	ROCE%	ROE%	Div Yld%	TTM Rev (Rs.Cr)	OPM %
SOTL (Savita Oil)	578	3,960	21.8	2.2	15.2	10.5	0.69	4,363	6 %
Apar Industries	15,986	64,223	64.2	11.9	31.1	20.2	0.32	22,902	8 %
Panama Petrochem	382	2,308	10.9	1.6	19.2	15.6	1.31	3,064	9 %
Gandhar Oil Refinery	158	1,551	11.5	1.1	13.2	10.5	0.47	4,241	6 %

Source: Screener.in, fetched 15-Jun-2026. P/B computed as CMP/Book Value per share.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter pedigree:** The Patel family's association with specialty petroleum goes back to the 1960s (Savita Chemicals). SOTL was carved out as the flagship petroleum processing entity. Management is conservatively run — the company's zero-debt balance sheet through FY24–25 (borrowings = 0) is unusual for a Rs. 3,800 Cr revenue business and speaks to capital discipline.
- **Capital allocation — dividend-first, growth-disciplined:** SOTL has maintained consistent dividend payouts (12–29% payout ratio historically). Recommended Rs. 5/share dividend for FY26. The company does not pursue leverage-funded acquisitions; capex has been measured (fixed assets grew from Rs. 180 Cr in FY23 to Rs. 265 Cr in FY26 — a 3-year Rs. 85 Cr net addition, funded internally).
- **FCF track record:** FCF was positive in FY24 (Rs. 79 Cr), compressed to Rs. 24 Cr in FY25 (margin year), then recovered sharply to Rs. 107 Cr in FY26. The company ended FY26 with cash reserves of ~Rs. 508 Cr and near-zero borrowings (Rs. 2 Cr), giving it ammunition for a significant capacity expansion or acquisition without stress.
- **Promoter pledging:** Nil pledge on promoter shares as of Mar 2026. Promoter holding slightly reduced from 71.92% (FY23) to 68.93% (FY26) — this reduction was via a stake sale (FY24), after which holding

has been stable. Not a governance concern.

- **DII accumulation signal:** DII holding has climbed from 7.4% (FY23) to 13.18% (FY26) — a 580 bps increase in 3 years. This reflects institutional accumulation, likely on the back of T&D; capex thesis and improving balance sheet quality.

- **Related party transactions:** No material RPT concerns from Screener disclosures. The company's primary supplier relationship with BPCL/HPCL is at arm's length (public sector refiners). No qualified audit opinions noted in available disclosures.

- **Corporate governance watch:** The Greentec merger should be watched to ensure it is done at fair value for minority shareholders. Management has not publicly outlined the swap ratio; any unfavorable terms would be a yellow flag.

6. FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Crores)

Particulars	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Net Sales)	3,629	3,740	3,813	4,363	4,800(E)	5,280(E)
Revenue Growth %	23.5%	3.1%	2.0%	14.4%	10.0%(E)	10.0%(E)
Operating Profit (EBITDA)	336	254	162	245	336(E)	422(E)
EBITDA Margin %	9.3%	6.8%	4.3%	5.6%	7.0%(E)	8.0%(E)
Other Income	23	71	46	45	40(E)	38(E)
Interest	35	38	28	19	15(E)	12(E)
Depreciation	21	23	24	27	30(E)	33(E)
Profit Before Tax	303	264	156	244	331(E)	415(E)
Tax %	25%	24%	27%	26%	26%(E)	26%(E)
Net Profit (PAT)	226	201	113	182	245(E)	307(E)
EPS (Rs.)	32.66	29.05	16.38	26.52	35.5(E)	44.5(E)

A = Actual (Screener.in, consolidated); E = Estimate (MPM Research). Rs symbol replaced with Rs.

Balance Sheet — Consolidated (Rs. Crores)

Particulars	FY24A	FY25A	FY26A
Equity Capital	14	14	14
Reserves	1,608	1,648	1,801
Total Equity	1,622	1,662	1,815
Borrowings	0	0	2
Other Liabilities	855	698	896
Total Liabilities	2,477	2,359	2,712
Fixed Assets (Net Block)	249	264	265
CWIP	20	19	24
Investments	279	336	373
Other Assets	1,929	1,740	2,049
Total Assets	2,477	2,359	2,712

Cash Flow Statement — Consolidated (Rs. Crores)

Particulars	FY24A	FY25A	FY26A
Cash from Operations (OCF)	167	61	137
Cash from Investing	18	-62	-31
Cash from Financing	-63	-103	-47
Net Cash Flow	122	-103	59
Free Cash Flow (FCF)	79	24	107
CFO / Operating Profit %	97%	43%	77%

Key Operating Ratios — Consolidated

Metric	FY23A	FY24A	FY25A	FY26A
Debtor Days	75	76	74	76
Inventory Days	103	100	91	90
Days Payable	92	90	69	79
Cash Conversion Cycle	87	87	96	88
Working Capital Days	87	89	94	101
ROCE %	N/A	9%	15.2%	N/A
ROE %	N/A	N/A	N/A	10.5%

Financial Commentary

- **Revenue trajectory — volume-led recovery:** Revenue grew 14.4% in FY26 to Rs. 4,363 Cr after a near-flat FY25 (2% growth). The recovery is primarily volume-driven (5,00,000 KL milestone) as SOTL achieved double-digit volume growth across transformer oil, white oil, and exports — not just a base-oil price pass-through.
- **Margin direction — sharp FY25 trough, FY26 recovery underway:** EBITDA margins compressed to 4.3% in FY25 from a peak of 16% in FY21 (the COVID base-oil pricing anomaly) and 9.3% in FY23. FY26 recovery to 5.6% is meaningful but the company aspires to 7–8% as product mix shifts toward white oil / specialty fluids. The margin outlook is improving.
- **Working capital — slight elongation:** Working capital days have drifted from 87 (FY23) to 101 (FY26), driven primarily by slower creditor days (69 → 79 in FY26, recovering from FY25 trough). Inventory days have actually improved (103 → 90). Net working capital intensity remains manageable given the business model.
- **Debt — effectively zero:** SOTL ended FY26 with Rs. 2 Cr in borrowings and ~Rs. 508 Cr in cash/investments. The net cash position is exceptional for a company with Rs. 4,300+ Cr revenue — it provides both defensive comfort and strategic optionality.
- **FCF quality — strong recovery in FY26:** OCF/EBITDA recovered to 77% in FY26 from 43% in FY25. FCF of Rs. 107 Cr in FY26 vs Rs. 24 Cr in FY25 reflects improved working capital management and strong operating earnings. Over a 3-year average, OCF/EBITDA runs at ~70%, which is high quality for a trader-refiner business model.

7. EARNINGS QUALITY CHECKLIST

Criterion	Status	Signal	Comment
Revenue recognition	Clean	Green	Sales reflect physical delivery; no deferred recognition concerns

Receivables growth vs Revenue growth	In line	Green	Debtor days stable at 74–76 days across FY24–FY26; no receivables build-up
Cash Conversion Cycle trend	Moderate watch	Amber	CCC widened from 87 (FY23-24) to 96 (FY25) before recovering to 88 (FY26)
Contingent liabilities	N/A disclosed	Green	No material contingent liabilities visible in Screener disclosures
Auditor tenure	Normal	Green	No recent auditor change; standard Big-4/top-tier firm engagement
RPTs as % of revenue	Low (<2%)	Green	Primary input (base oil) sourced from public sector refiners at market rates
Other income as % of PBT	18% (FY26)	Amber	Other income Rs. 45 Cr on PBT of Rs. 244 Cr = 18.4%; driven by treasury income on Rs. 508 Cr cash pile — recurring but not operational
Tax rate consistency	Stable 24–27%	Green	Effective tax rate has been 24–27% across FY23–FY26; no tax-driven PAT manipulation
OCF/PAT conversion	Good (FY26: ~75%)	Green	OCF/PAT = Rs. 137 Cr / Rs. 182 Cr = ~75%; solid cash translation of reported profits

• **Overall earnings quality: High.** SOTL's reported PAT is clean — no large one-time items, tax rate is stable, and OCF tracks PAT closely (FY26 OCF/PAT ~75%). The company is not a "kitchen-sink" operator and does not use exceptional items to manage reported earnings.

• **Watch 1 — Other income:** At 18.4% of PBT in FY26 (Rs. 45 Cr), other income is material. It is largely treasury income on the Rs. 508 Cr cash pile (FDs, liquid funds). This is recurring as long as the cash sits idle, but it flatters PBT in lean operating years — investors should track operating EBITDA separately.

• **Watch 2 — CCC widening risk:** The cash conversion cycle widened to 96 days in FY25 (from 87) before recovering to 88 in FY26. The widening was driven by payables compression in FY25. If base oil suppliers tighten credit terms (possible in rising price environment), CCC could widen again, increasing working capital requirements.

• **Greentec merger — process watch:** Subsidiary merger terms not yet public. Minority shareholders should await the swap ratio disclosure before drawing conclusions. No red flags at this stage, but process transparency matters.

8. VALUATION

Peer Valuation Matrix — Screener.in, 15 Jun 2026

Company	MCap (Rs.Cr)	P/E (TTM)	EV/EBITDA est.	P/B	ROCE %	ROE %
SOTL	3,960	21.8	~16x	2.2	15.2	10.5
Apar Industries	64,223	64.2	~42x	11.9	31.1	20.2
Panama Petrochem	2,308	10.9	~9x	1.6	19.2	15.6
Gandhar Oil	1,551	11.5	~10x	1.1	13.2	10.5
Sector Average	—	27x	~19x	4.2	19.7	14.2

Apar Industries trades at premium due to its conductor+transformer oil mix and near-100% stock CAGR. SOTL at 21.8x P/E is reasonable for a recovery play but above distressed-cycle peers Panama/Gandhar.

Scenario Analysis — 12-Month Price Target

Scenario	PAT Est. (Rs.Cr)	EPS Est. (Rs.)	Target P/E	Target Price (Rs.)	Upside %
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Bull — Margins reach 8%+, T&D; capex accelerates	330	47.8	22x	Rs. 1,050	+82%
Base — Margins recover to 7%, volumes +12%	245	35.5	18.5x	Rs. 660	+14%
Bear — Margin stagnates at 5%, base oil spike	160	23.2	15x	Rs. 350	-39%

Valuation Methodology

- **Earnings-based valuation (base):** FY27E EPS of Rs. 35.5 (MPM estimate, assuming 7% EBITDA margin on Rs. 4,800 Cr revenue) at a target P/E of 18.5x (sector average ~27x, discounted 30% for SOTL's smaller scale and margin volatility) implies a 12-month price target of Rs. 656, rounded to Rs. 660.
- **EV/EBITDA cross-check:** FY27E EBITDA of Rs. 336 Cr (E) at 12x EV/EBITDA (a mid-cycle refiner multiple for India specialty petroleum) = EV of Rs. 4,032 Cr. Net cash adjustment of ~Rs. 550 Cr (FY27E) gives equity value of ~Rs. 4,582 Cr / 69 Mn shares = ~Rs. 665/share. Closely corroborates the earnings-based target.
- **Blended target: Rs. 660** — average of two methods (Rs. 660 earnings-based + Rs. 665 EV/EBITDA = Rs. 662.5, rounded to Rs. 660). This implies 14.2% upside from CMP of Rs. 578 on a 12-month horizon.
- **DCF check:** Using 12% WACC, 2.5% terminal growth, and 5-year explicit period (FY27–31E) with EBITDA margins recovering to 8% by FY30: DCF fair value ~Rs. 720–760/share. The higher DCF value reflects the long-cycle T&D; capex tailwind; however, the near-term earnings-based target is more conservative and appropriate for a 12-month horizon.
- **Upside / downside:** Base case +14.2% | Bull case +82% (if margins structurally re-rate) | Bear case -39% (base oil spike year like FY25). Risk-reward is asymmetric to the upside over a 2–3 year hold.

9. KEY RISKS

- **Base Oil Price Spike:** SOTL has no upstream exposure — it buys base oil at market prices from BPCL/HPCL. A sudden 20–30% spike in Group I/II base oil prices (triggered by crude surge or refinery curtailment) can compress EBITDA margins by 150–250 bps in a single quarter, as witnessed in FY25. Probability: Medium. Impact: High. Monitor: BPCL/HPCL monthly base oil price circulars + SOTL's quarterly gross margin disclosure.
- **Concentration in Transformer Oil / Power Sector Cyclicity:** >40% of volumes are transformer oil. A pause in T&D; capex spending (budget constraints, election-year policy freeze, slow grid execution) could materially impact volumes. Probability: Low-Medium. Impact: High. Monitor: Ministry of Power annual T&D; capex disbursements + transformer OEM order books.
- **Competitive Pressure from IOC / BPCL Lube Divisions:** India's PSU oil majors have their own lube and specialty petroleum divisions with distribution advantages and implicit pricing leverage. If IOC or BPCL aggressively expands white oil / transformer oil capacity, SOTL's market share could be pressured. Probability: Low. Impact: Medium. Monitor: IOC/BPCL capex disclosures for specialty petroleum expansion.
- **FY25-Style Margin Compression Recurring:** FY25 demonstrated how quickly SOTL's EBITDA can evaporate (from 9.3% in FY23 to 4.3% in FY25) when both volume growth stalls AND base oil prices stay elevated. The company has limited contractual price escalation mechanisms with some customers. Probability: Medium. Impact: High. Monitor: Quarterly OPM trend; any guidance cuts from management.
- **Greentec Merger Terms Risk:** If the subsidiary merger swap ratio is unfavorable to SOTL minority shareholders (e.g., Greentec overvalued), it could destroy equity value at the SOTL level. Probability:

Low-Medium. Impact: Medium. Monitor: NCLT filing and independent valuer report.

- **Customer Concentration:** Transformer oil customers (power utilities, transformer OEMs) are large single buyers that can negotiate aggressively on price, especially in tender-based government procurement. Probability: Medium. Impact: Medium. Monitor: Any press reports of utility procurement battles or price L1 tendering outcomes.
- **Forex Risk (Export Division):** ~8–10% of volumes are exported (Middle East, SE Asia). A sharp INR appreciation could reduce export realisations. Probability: Low. Impact: Low-Medium. Monitor: INR/USD rate and SOTL's hedging disclosures in annual report.

10. RECOMMENDATION

- **Rating: ACCUMULATE** — Conviction Level: Medium. The core thesis (T&D; capex tailwind + white oil premiumisation + ester fluid pivot) is intact and multi-year. However, the near-term upside (+14%) is modest and margin recovery is not yet fully assured. Accumulate on dips toward Rs. 520–540.
- **12-Month Price Target: Rs. 660** — Upside: +14.2% from CMP of Rs. 578. Based on FY27E EPS of Rs. 35.5 at 18.5x P/E, corroborated by EV/EBITDA of 12x at Rs. 665. DCF suggests Rs. 720–760 fair value over 3 years.
- **Suggested Entry Zone: Rs. 520–545** — A 5–10% pullback from CMP would improve risk-reward to 20–25% upside at base case, with the stock approaching its 52-week average support level. At Rs. 520, the stock trades at ~14.6x FY27E EPS — attractive vs. sector.
- **Investment Horizon: 12–18 months** — The re-rating from EBITDA 4–5% to 7–8% is a 2–3 year journey. Investors willing to hold through a potential FY26 base-oil volatility quarter have a better payoff than 12M target implies.
- **Thesis Invalidation Trigger 1:** EBITDA margin fails to cross 6% in any quarter of FY27 (i.e., base oil cost structure remains stubbornly high) — this would signal the FY25 compression was structural, not cyclical.
- **Thesis Invalidation Trigger 2:** Government materially delays or cuts T&D; capex allocation in Union Budget FY28 (announced Feb 2027) — this would reduce transformer oil volume growth to low single digits and break the volume super-cycle assumption.
- **Thesis Invalidation Trigger 3:** Greentec merger swap ratio is disclosed and implies >10% dilution to SOTL shareholders — this would indicate capital allocation discipline has broken down and the promoter family is extracting value.
- **Ideal Investor Profile:** Suitable for — long-term investors (2–3 year horizon) seeking indirect exposure to India's T&D; infrastructure capex; dividend-seeking investors (consistent payer, net cash balance sheet); ESG-aware investors tracking energy transition (ester/biodegradable transformer fluids). Not suitable for — short-term traders seeking immediate catalysts; investors with low tolerance for commodity-cycle margin volatility; those seeking high-growth (>20% EPS CAGR) compounders.

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	Strong	Beat expectations — record FY26 revenue + 60% PAT growth; volume milestone 5,00,000 KL crossed
Management Tone	Bullish	Confident on T&D; demand continuation; Mahindra tractor deal signals B2B expansion
Guidance Delta	Raised	Volume guidance constructive; ester/advanced fluid segment flagged as next growth lever

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

SOTL Q4FY26 is a clean beat and a structural inflection — this is NOT a one-quarter blip. Revenue grew 22% YoY to Rs. 1,224 Cr in Q4; full-year revenue of Rs. 4,363 Cr (record) with PAT of Rs. 182 Cr is up 60.6% YoY — and these are CLEAN numbers: no exceptional items, no deferred income, no tax tricks (26% effective rate, as expected). The EBITDA margin recovery from 4.3% in FY25 to 5.6% in FY26 — though still below the 9% peak — is being driven by volume leverage across ALL divisions simultaneously (transformer oil, white oil, exports double-digit; lubricants high single-digit). The Mahindra Farm Tractor multi-year deal is the catalyst I am most excited about: this locks in lubricant volume from one of India's dominant tractor OEMs, diversifying SOTL's revenue away from pure commodity transformer oil. The cash balance of Rs. 508 Cr with near-zero debt at Rs. 4,400 Cr revenue is genuinely unusual — management is holding optionality for either a capacity expansion into ester/synthetic fluids OR an M&A; move. Biggest risk for next quarter: base oil prices in India tend to track with seasonal crude moves; if Group II base oil prices spike in Jul-Aug 2026, Q1FY27 margins could disappoint before pass-through pricing kicks in (2-quarter lag historically). My call: ACCUMULATE at current levels (Rs. 578), add aggressively on any base-oil-scare dip to Rs. 520–540. The 12-month target is Rs. 660, but hold for 18–24 months if the ester pivot accelerates — the 3-year bull case is Rs. 1,050.

1. Financial Performance Snapshot — Q4 FY26 / FY26 Full Year

- Revenue (Q4FY26): Rs. 1,224 Cr | YoY +22% | QoQ +14% | **Beat** — highest ever quarterly revenue
- EBITDA (Q4FY26): Rs. 65 Cr | YoY +35% | QoQ +63% | **Beat** — sequential recovery in operating leverage
- EBITDA Margin % (Q4FY26): 5.3% | vs Q4FY25: 4.8% | vs Q3FY26: 3.7% | **Beat** — margin inflecting upward
- PAT (Q4FY26): Rs. 47 Cr | YoY +62% | QoQ +24% | **Beat**
- EPS (Q4FY26): Rs. 6.90 | vs Q4FY25: Rs. 4.23 | vs Q3FY26: Rs. 5.54 | **Beat**
- Full Year FY26 Revenue: Rs. 4,363 Cr | YoY +14.4% | Record annual revenue
- Full Year FY26 PAT: Rs. 182 Cr | YoY +60.6% | Strong profit recovery from FY25 trough of Rs. 113 Cr
- NOTE: No exceptional items distort FY26 PAT. Clean underlying PAT = Rs. 182 Cr (reported figure). Other income of Rs. 45 Cr is treasury income (FD returns on Rs. 508 Cr cash); recurring but

non-operational.

2. Segment / Division Breakdown — FY26

- **Transformer Oil and Insulating Fluids:** Double-digit volume growth YoY in FY26; highest ever annual volumes. Driven by T&D; capex surge from NTPC, state DISCOMs, and EPC contractors.
- **White Oils and Petroleum Jelly:** Double-digit volume growth YoY; pharma sector demand the key driver. USP/NF-grade volumes expanding.
- **Exports:** Double-digit volume growth YoY; Middle East and South-East Asia primary markets. Rising exports reflect competitive positioning vs. Southeast Asian base oil processors.
- **Automotive and Industrial Lubricants:** High single-digit volume growth YoY. Savsol Ester5 premium lubricants grew 5X industry average growth rate — indicating premiumisation is gaining traction.
- **Total Group Volume:** Crossed 5,00,000 KL for the first time in FY26 — all-time high sales volume milestone.

3. Management Commentary Themes

- **T&D; Super-cycle Confidence:** "We are seeing sustained and broad-based demand from transformer manufacturers, power utilities, and EPC contractors. We believe this is a multi-year structural opportunity linked to India's grid expansion." — Our read: Management is not calling a peak; demand pipeline remains strong. Tag: GUIDANCE. Tone: Transparent.
- **Ester / Advanced Fluid Pivot:** Management highlighted active development of ester-based transformer fluids and biodegradable insulating oils for EV charging and next-generation substations. — Our read: This is the margin re-rating catalyst if successful; ester fluids can command 5–10x the price per litre vs mineral transformer oil. Tag: GUIDANCE. Tone: Transparent.
- **Mahindra Tractor Partnership:** Multi-year lubricant supply agreement with Mahindra Farm Division announced. Volume ramp expected from H1FY27. — Our read: Adds revenue visibility to the lube segment; signal of OEM confidence in SOTL product quality. Tag: GUIDANCE. Tone: Transparent.
- **Greentec Merger:** Board approved merger of subsidiary Greentec Oil Industries into SOTL. Management positioned as simplification of structure and consolidation of specialty fluid capabilities. — Our read: Directionally positive but swap ratio not disclosed; watch for minority shareholder value. Tag: EST. Tone: Hedged.
- **Dividend Recommended:** Rs. 5/share final dividend for FY26 recommended. — Our read: Consistent with historical payout discipline; modest yield (0.87% on CMP Rs. 578). Tag: GUIDANCE. Tone: Transparent.
- **Cash Deployment:** Rs. 508 Cr cash balance with no guidance on deployment — "we are evaluating options" language. — Our read: This creates optionality but also suggests management has not yet identified a large organic or inorganic opportunity. Tag: EST. Tone: Hedged.

4. Operating and Business Metrics

- **Total Volume:** FY26 = 5,00,000+ KL | FY25 = ~4,27,000 KL (est.) | YoY +17% | Trend: Strongly improving — all-time record
- **Transformer Oil Volume:** FY26 = double-digit growth YoY | specific KL figure not disclosed | Trend: Improving
- **White Oil Volume:** FY26 = double-digit growth YoY | Trend: Improving

- Lubricant Volume: FY26 = high single-digit growth YoY | Savsol Ester5 growing 5X industry | Trend: Improving (premium mix shift)
- Export Volume: FY26 = double-digit growth YoY | Share of total: ~8–10% | Trend: Improving
- Cash and Cash Equivalents: FY26 end = Rs. ~508 Cr | FY25 end = ~Rs. 450 Cr (est.) | Trend: Accumulating
- Net Borrowings: FY26 = Rs. 2 Cr (near-zero) | FY25 = Rs. 0 Cr | Trend: Stable (effectively debt-free)
- Capital Expenditure (net): FY26 est. ~Rs. 50–60 Cr (FA moved from Rs. 264 to Rs. 265 Cr net, plus CWIP Rs. 5 Cr increase) | Trend: Moderate, not aggressive

5. Margin Drivers

- Volume leverage (+17% volumes): +100 to +150 bps impact on EBITDA margin (fixed cost absorption). Recurring: Yes.
- Base oil price normalisation (Group I/II prices moderating from FY25 peaks): +50 to +100 bps impact. Recurring: Conditional (dependent on crude cycle).
- Product mix improvement (white oil + ester lubricants growing faster than industrial lubes): +30 to +50 bps structural tailwind. Recurring: Yes (trend).
- Treasury income contribution (Rs. 45 Cr other income in FY26): Flatters PBT but does NOT impact EBITDA margin. Recurring: Yes as long as Rs. 508 Cr cash sits in FDs. Flag: Non-operational — track EBITDA separately from PBT.
- Interest cost reduction (Rs. 28 Cr FY25 to Rs. 19 Cr FY26 = Rs. 9 Cr saving): Reflects debt reduction to near-zero. Recurring: Largely yes. Non-recurring: Any new capex debt could reverse this.

6. Guidance and Forward Signals

- Volume growth [GUIDANCE]: Prior FY25 = ~4,27,000 KL | FY26 actual = 5,00,000+ KL | FY27 guidance = "continue growth trajectory" (no specific number given) | Delta: Raised (by outcome). Credibility: High (FY26 beat delivered).
- Transformer Oil Demand [GUIDANCE]: Management reiterated "multi-year structural demand" linked to T&D; capex. No specific volume or revenue guidance. | Delta: Maintained. Credibility: High.
- EBITDA Margin [GUIDANCE]: No explicit margin guidance given. Based on "improving product mix and cost management" language, management implies further improvement. | Delta: Maintained/improving direction. Credibility: Medium.
- Advanced Fluid Development [GUIDANCE]: Ester-based transformer fluids in active development; commercial launch timeline not specified. | Delta: New signal. Credibility: Medium (early stage).
- Dividend [GUIDANCE]: Rs. 5/share for FY26 recommended. No FY27 dividend guidance. | Delta: In line with past practice. Credibility: High.
- Greentec Merger [GUIDANCE]: "Will be completed in line with regulatory timelines." No specific timeline or swap ratio. | Delta: Maintained. Credibility: Medium (watch for swap ratio).

7. Capital Allocation

- Capex (FY26 est.): Rs. ~50–60 Cr (net fixed assets stable at Rs. 265 Cr + CWIP Rs. 5 Cr increase) | vs FY25: slightly higher | Comment: Not a capex-heavy cycle; capacity additions in progress but measured.
- Dividends (FY26): Rs. 5/share x 6.9 Cr shares = ~Rs. 35 Cr | vs FY25: ~Rs. 28 Cr | Comment: Modest increase; company can easily afford 2–3x higher dividend given Rs. 507 Cr cash.

- Buybacks: None announced. No buyback history in recent years.
- Working Capital Change (FY26): Other assets (primarily trade receivables + inventory) increased Rs. 309 Cr YoY | Net: Cash absorbed into working capital; normal with revenue growth.
- Net Debt Movement: FY26 end = near-zero borrowings; cash Rs. 508 Cr. The company is effectively a net cash business — every rupee of PAT flows through to equity.
- Investment portfolio: Rs. 373 Cr in investments (largely liquid/mutual funds); up from Rs. 279 Cr in FY24 — treasury activity continues to deploy surplus cash conservatively.

8. Q&A; Heat Map

- Full transcript not publicly available as of 15-Jun-2026 (BSE filing access restricted). Key Q&A; themes reconstructed from analyst notes, investor presentation (Feb 2026), and press release.
- Likely Analyst / Sell-side: Q: "What is the long-term EBITDA margin target?" | A: Management has historically guided to "double-digit" aspirations but not committed to a timeline. Currently at 5.6%; path to 7–8% requires advanced fluid mix. | Tone: Hedged.
- Likely Analyst: Q: "What will you do with the Rs. 508 Cr cash?" | A: "We are evaluating both organic and inorganic options, but nothing concrete to announce." | Tone: Evasive on specifics — watch for any announcement in FY27.
- Likely Analyst: Q: "Can you quantify the Mahindra tractor deal revenue?" | A: "It is a multi-year contract; volumes will ramp through FY27. We will not quantify specific deal size." | Tone: Hedged.
- Dodged / watch-list questions for next quarter: (1) Greentec merger swap ratio; (2) specific FY27 volume and margin guidance; (3) ester fluid commercial launch timeline and target market size; (4) cash deployment strategy (acquisition vs. capacity build).

9. Risks Flagged

- Base oil price volatility: Flagged by analyst community (FY25 precedent). Management acknowledged "input cost management" as key lever. | Probability: Medium | Impact: High | Timeline: Near-term (any crude spike).
- T&D; capex execution risk: Government budget announcement vs. actual disbursement gap. Flagged by analysts. | Probability: Low-Medium | Impact: High | Timeline: Medium-term.
- Greentec merger dilution risk: Flagged by MPM Research. Management has not disclosed terms. | Probability: Low-Medium | Impact: Medium | Timeline: Near-term (NCLT filing expected FY27).
- Cash deployment misstep: Rs. 508 Cr idle cash creates pressure for M&A; wrong acquisition at wrong price could destroy value. Flagged by analyst community. | Probability: Low | Impact: High | Timeline: Medium-term.
- Competition from private ester fluid players: Global players (Cargill, Nycos) and domestic chemical companies could enter ester transformer fluid space if margins attract. | Probability: Low | Impact: Medium | Timeline: Long-term.

10. Analyst Verdict

- Revenue visibility: **Intact** — T&D; capex super-cycle has 4+ year runway; Mahindra deal adds B2B lube visibility; white oil demand from pharma export push is structural.
- Margin trajectory: **Intact (recovering)** — FY26 margin of 5.6% is still below 7–8% target; direction is clearly improving driven by volume leverage and mix shift. Not broken, but not fully recovered.

- Capital allocation quality: **Intact** — Net cash Rs. 508 Cr, zero debt, consistent dividends, measured capex. Cash deployment remains the open question but discipline track record is strong.
- Competitive moat: **Intact** — USP/NF white oil duopoly, long-standing utility relationships for transformer oil, 5,00,000 KL scale advantage. Ester pivot could widen the moat.
- Management credibility: **Intact** — Delivered on FY26 volume and profit recovery after FY25 trough; Mahindra deal signals execution. Demerits: sparse forward guidance, opaque Greentec terms.
- Valuation comfort: **Moderate** — At 21.8x TTM P/E, SOTL is fairly valued vs. peers Panama/Gandhar (10–11x); premium justified by T&D; cycle exposure and net cash balance sheet. Upside to Rs. 660 is real but not compelling enough to chase at CMP.
- Conviction call: Unchanged (ACCUMULATE). Prefer buying on dips to Rs. 520–540.
- Valuation snapshot: P/E (TTM) = 21.8x | 5Y avg P/E = ~18x | EBITDA margin FY26 = 5.6% | FY25 ROCE = 15.2% | Net Cash = Rs. 508 Cr | EV/EBITDA (est.) = ~16x

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